

convertible bonds, and \$750 million, including such issue. Despite National General's enormously greater capitalization, it had actually done considerably less gross business than Presto in their fiscal years, and it had shown only 75% of Presto's net income.

The determination of the *true market value* of General's common-stock capitalization presents an interesting problem for security analysts and has important implications for anyone interested in the stock on any basis more serious than outright gambling. The relatively small \$4½ convertible preferred can be readily taken care of by assuming its conversion into common, when the latter sells at a suitable market level. This we have done in Table 18-7. But the warrants require different treatment. In calculating the "full dilution" basis the company assumes exercise of all the warrants, and the application of the proceeds to the retirement of debt, plus use of the balance to buy in common at the market. These assumptions actually produced virtually no effect on the earnings per share in calendar 1968—which were reported as \$1.51 both before and after allowance for dilution. We consider this treatment illogical and unrealistic. As we see it, the warrants represent a part of the "common-stock package" and their market value is part of the "effective market value" of the common-stock part of the capital. (See our discussion of this point on p. 415 above.) This simple technique of adding the market price of the warrants to that of the common has a radical effect on the showing of National General at the end of 1968, as appears from the calculation in Table 18-7. In fact the "true market price" of the common stock turns out to be more than twice the quoted figure. Hence the true multiplier of the 1968 earnings is more than doubled—to the inherently absurd figure of 69 times. The total market value of the "common-stock equivalents" then becomes \$413 million, which is over three times the tangible assets shown therefor.

**TABLE 18-7. Pair 7.**